Economics and Business Administration

Financial Statement Analysis — Exercises

Exercise 1)

Classify each item below (from an industrial company) using the Capital Employed reclassification scheme, marking with “X” if the item belongs to the category, or “(X)” if it is deducted from the category total:

	Balance Sheet						Income Statement					
	Current Operating Assets	Non-Current Operating Assets	Non-Operating (Ancillary) Assets	Current Operating Liabilities	Financial Liabilities	Equity	Net Revenue	Core Operating Costs	Income / Expenses from Ancillary Activities	Net Financial Expenses	Exceptional Items (Non-recurring)	Income Taxes
Provision for risks — legal claim related to an investment property												
Interest income on active bond												
Post-employment benefit obligations (TFR) — medium/long term												
Deferred tax assets												
Cash discounts paid (financial expenses)												
Loss on disposal of business unit												
Dividends received from subsidiaries												
Foreign exchange losses on export sales												
Write-down of active bond investment												
Deferred rental income — investment property												
Payables to social security institutions												
Net loss for the period												
Current portion of finance lease liabilities												
Advance payments for acquisition of investment property												
Exceptional loss (Non-recurring)												
Patent												
Accumulated depreciation on licences												
Unconditional trade discounts received												

Exercise 2)

Given the following Balance Sheet (Capital Employed approach) and Income Statement, calculate ROI and ROE and decompose each into its drivers.

Balance Sheet	
+ Current Operating Assets	450
− Current Operating Liabilities	-150
= Operating NWC	300
+ Non-Current Operating Assets	650
+ Ancillary Assets	50
= CAPITAL EMPLOYED (Net Invested Capital)	**1.000**
+ Financial Debt (D)	800
+ Equity (E)	200
= TOTAL FINANCING	**1.000**

Income Statement	
+ Net Sales	1.000
− Core Operating Costs	900
= CORE EBIT	**100**
+ Non-Core Operating Income	20
= EBIT (Operating Income)	**120**
− Net Financial Expenses	-20
= EBT (Earnings Before Taxes)	**100**
− Income Tax Expense	-30
= NET INCOME	**70**

Exercise 3

Based on the financial statements and ratios below, answer the five questions. Justify each answer.

ASSETS	year x
Cash and cash equivalents	1.000
Trade receivables	17.700
Inventories	9.200
Other current assets	100
CURRENT OPERATING ASSETS	**28.000**
Property, Plant & Equipment	28.000
Intangible assets	4.000
Accumulated depreciation	-2.000
NON-CURRENT OPERATING ASSETS	**30.000**
ANCILLARY ASSETS	8.500
TOTAL ASSETS	**66.500**

LIABILITIES	year x
Trade payables	3.400
Tax payables, other & TFR	1.300
CURRENT OPERATING LIABILITIES	**4.700**
Short-term bank debt	7.400
Medium/long-term bank debt	13.400
Other financial liabilities	0
FINANCIAL LIABILITIES	**20.800**
Share capital & reserves	31.323
Net income for the period	9.677
EQUITY	**41.000**
TOTAL LIABILITIES & EQUITY	**66.500**
	0

INCOME STATEMENT	year x
NET SALES	**70.000**
Cost of goods sold	-45.000
Purchase of services	-8.460
VALUE ADDED	**16.540**
Labour costs	-10.336
D&A and write-downs	-4.827
CORE EBIT	**1.377**
Ancillary income & revenues	12.500
EBIT	**13.877**
Net Financial Expenses	-1.400
EBT (Earnings Before Taxes)	**12.477**
Exceptional Items (Non-recurring)	200
EBT (after exceptional items)	**12.677**
Income Taxes	-3.000
NET INCOME	**9.677**

FINANCIAL RATIOS	
ROE	
RONA	
Capital Employed (CE)	
i	
Leverage ratio	
DSO (incl. VAT 20%)	
DIO	
DPO (incl. VAT 20%)	
Operating NWC	
Working capital requirement %	
Interest coverage ratio (EBIT / Fin.Exp.)	9,9

1. **Does the company exploit financial leverage (leverage level)?**

2. **How do you assess the safety margin (spread between RONA and r)?**

3. **Is the Operating NWC well managed?**

4. **Is the operating result "high quality"?**

5. **How do you assess the overall financial health of the company?**